The Intelligent Investor

A Book of Practical Counsel on Value Investing

By Benjamin Graham

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SYNOPSIS & EDITORIAL NOTE

Benjamin Graham's foundational treatise distinguishing disciplined investment from market speculation through the principle of margin of safety.

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CHAPTER 1 (PREVIEW)

Investment versus Speculation

Licensed Study Preview & Analytical Summary

What do we mean by "investor"? Throughout this book the term will be used in contradistinction to "speculator." As far back as 1934, in our textbook Security Analysis, we attempted a precise formulation of the difference between the two, as follows: "An investment operation is one which, upon thorough analysis promises safety of principal and an adequate return. Operations not meeting these requirements are speculative."

This distinction is not merely academic. When market participants confuse speculation with investment, they expose their capital to permanent impairment precisely when optimism is highest and prices are detached from underlying business value.

The defensive investor must confine himself to the shares of important companies with a long record of profitable operations and in strong financial condition. The enterprising investor, by contrast, devotes time and care to selecting securities that are both sound and more attractive than the average of the market.